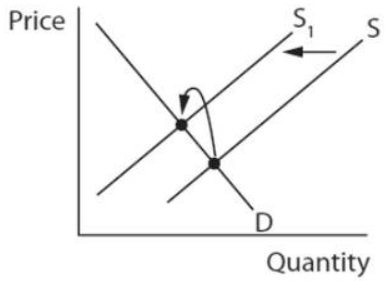
Type MS · Rising and falling currencies: effects on trade and the current account

Answer 1 of 17 · Question 2 part e · 3 marks

2020 NOV · Paper 02 · extract 1 of 5 · find part e in this mark scheme extract

2(a)	**AO2 1 mark** **C**  	**(1)**

Question Number	Answer	Mark
2(b)	**AO1 1 mark** **A** Deregulation	**(1)**

Question Number	Answer	Mark
2(c)	**AO1 1 mark** Award 1 mark for **one** correct disadvantage • Foreign competition • Increasing unemployment Accept any other appropriate responses	**(1)**

Question Number	Answer	Mark
2(d)	**AO1 2 marks** Award 1 mark for reference to price of a currency and 1 mark for reference to another currency The price of one currency **(1)** in terms of another currency **(1)** Accept any other appropriate response	**(2)**

Type MS · Rising and falling currencies: effects on trade and the current account

Answer 1 of 17 · Question 2 part e · 3 marks

2020 NOV · Paper 02 · extract 2 of 5 · find part e in this mark scheme extract

Question Number	Answer	Mark
2(e)	**AO2 3 marks** Award 1 mark for identifying a relevant reason Award 1 mark for developing the reason Award 1 mark for the response being in context • One reason is that there may be increased demand for German exports **(1)** if consumers overseas are responsive to the cheaper export prices **(1)**. This has a positive impact on the current account of Germany if there is an overall increase in net exports **(1)** • One reason is that this may reduce the quantity of imports into Germany **(1)** as it is now relatively more expensive to import goods due to the fall in the euro **(1)**. This could result in a decrease in net imports **(1)** Accept any other appropriate response	**(3)**

Question Number	Answer	Mark
2(f)	**AO2 3 marks** Award 1 mark for identifying a possible way Award 1 mark for developing the possible way Award 1 mark for the response being in context • One way is that privatisation introduces competition into the airport market **(1)**. It creates incentives to lower unit costs **(1)** to increase productivity and profit **(1)** • One way is that privatisation may improve the quality of the factors of production of airports **(1)**. This means that an airport can produce more services **(1)** without increasing inputs **(1)** Accept any other appropriate response	**(3)**

Type MS · Rising and falling currencies: effects on trade and the current account

Answer 1 of 17 · Question 2 part e · 3 marks

2020 NOV · Paper 02 · extract 3 of 5 · find part e in this mark scheme extract

Question Number	Indicative content	Mark
2(g)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Benefit payments are payments given to people to ensure they have a minimum standard of living • These include benefits such as unemployment benefit, state pension and in this case, child benefit • The advantages are that benefit payments help to reduce inequality and reduce relative poverty as the money is given directly to people on no or low-incomes • Benefit payments will give those on low income a better living standard and help contribute to a more cohesive society • Canada estimates that 300,000 children have been lifted out of poverty due to the child benefit payments • This could be due to more working mothers being able to return to work and therefore being able to contribute to society **AO4** • However, increasing welfare benefits creates a disincentive to work • Many families may face the poverty trap and are often better off on benefits than working • The cost of the benefits has to be borne by society so there is often an opportunity cost to a country from using benefit payment to redistribute income • Not all people are entitled to receive the child benefit which could result in resentment • There are other methods which might be more effective in redistributing income, such as progressive taxation or investment in education • The Canadian Government should use a combination of methods to reduce inequality and poverty	**(9)**

Type MS · Rising and falling currencies: effects on trade and the current account

Answer 1 of 17 · Question 2 part e · 3 marks

2020 NOV · Paper 02 · extract 4 of 5 · find part e in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	**1–3**	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	**4–6**	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	**7–9**	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Rising and falling currencies: effects on trade and the current account

Answer 1 of 17 · Question 2 part e · 3 marks

2020 NOV · Paper 02 · extract 5 of 5 · find part e in this mark scheme extract

Question Number	**Answer**	Mark

Type MS · Rising and falling currencies: effects on trade and the current account

Answer 2 of 17 · Question 2 part e · 3 marks

2019 JUN · Paper 02 (regional R) · extract 1 of 6 · find part e in this mark scheme extract

2(a)	**AO2 1 mark** **C** $51 100	**(1)**

Question Number	Answer	Mark
2(b)	**AO1 1 mark** **C** Monetary	**(1)**

Question Number	Answer	Mark
2(c)	**AO1 1 mark** Award 1 mark for **one** correct impact • Leakage from the economy • Problems finding foreign reserves to fund the deficit • Can be inflationary • Unemployment • Falling output/GDP Accept any other appropriate responses	**(1)**

Question Number	Answer	Mark
2(d)	**AO1 2 marks** Award 1 mark for reference to household income and 1 mark for reference to basic needs. A condition where household income is below a necessary level **(1)** to provide the basic needs for survival **(1)**	**(2)**

Type MS · Rising and falling currencies: effects on trade and the current account

Answer 2 of 17 · Question 2 part e · 3 marks

2019 JUN · Paper 02 (regional R) · extract 2 of 6 · find part e in this mark scheme extract

Question Number	Answer	Mark
2(e)	**AO2 3 marks** Award 1 mark for identifying a relevant disadvantage of an appreciating currency Award 1 mark for developing the disadvantage Award 1 mark for the disadvantage being in context • A deterioration of the current account **(1).** A stronger value of the Thai baht leads to falling export sales **(1)** resulting in a larger trade deficit for Thailand's economy **(1)** • Reduced economic growth for the economy of Thailand **(1)** The price of exports should rise because of the stronger baht **(1)** This may result in a decrease in demand for goods/services **(1)** Accept any other appropriate response.	**(3)**

Type MS · Rising and falling currencies: effects on trade and the current account

Answer 2 of 17 · Question 2 part e · 3 marks

2019 JUN · Paper 02 (regional R) · extract 3 of 6 · find part e in this mark scheme extract

Question Number	Answer	Mark
2(f)	**AO2 3 marks** Award 1 mark for identifying a possible negative effect Award 1 mark for developing the possible negative effect Award 1 mark for the effect being in context • Pollution from business activity **(1).** Many firms create air and noise pollution from making goods **(1)** which can negatively affect local communities near to factories in China **(1)** • More waste from production and consumption of goods and services **(1).** Waste must be disposed of in landfill sites **(1).** This can cause a health hazard to Chinese residents near to areas of waste disposal **(1)** Accept any other appropriate response	**(3)**

Type MS · Rising and falling currencies: effects on trade and the current account

Answer 2 of 17 · Question 2 part e · 3 marks

2019 JUN · Paper 02 (regional R) · extract 4 of 6 · find part e in this mark scheme extract

Question Number	Indicative content	Mark
2(g)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • The report indicates that parks decrease health costs, through encouraging exercise and reducing air pollution • This reduces government expenditure on health care and improves the lives and productivity of the population • Parks and open spaces not only provide benefits to people but also protect wildlife and ecosystems within an urban area • Parks can be used for recreational purposes and a place for children to play which can reduce negative externalities for a government • Depending on their size, parks can bring in tourism revenue to local restaurants, hotels, snack shops, and stores • Parks can host festivals, concerts and athletics events, bringing additional boosts to the local economy **AO4** • However, there is an opportunity cost to the government in providing parks and open spaces • This area of land could be used for other purposes such as housing or for commercial development which may create jobs and increase output • There is a cost in creating and maintaining the park which must be funded by the government, as the park is free to use • The overall benefits will depend on how many people use the park and if there are alternative ways to protect the environment/reduce pollution such as pollution permits, regulation or fines	**(9)**

Type MS · Rising and falling currencies: effects on trade and the current account

Answer 2 of 17 · Question 2 part e · 3 marks

2019 JUN · Paper 02 (regional R) · extract 5 of 6 · find part e in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Rising and falling currencies: effects on trade and the current account

Answer 2 of 17 · Question 2 part e · 3 marks

2019 JUN · Paper 02 (regional R) · extract 6 of 6 · find part e in this mark scheme extract

Question Number	Answer	Mark

Type MS · Rising and falling currencies: effects on trade and the current account

Answer 3 of 17 · Question 2 part e · 3 marks

2019 JUN · Paper 02 · extract 1 of 6 · find part e in this mark scheme extract

2(a)	**AO1 1 mark** **C** 4%	**(1)**

Question Number	Answer	Mark
2(b)	**AO2 1 mark** **A** Direct taxation	**(1)**

Question Number	Answer	Mark
2(c)	**AO1 1 mark** Award 1 mark for **one** correct way. • Visual pollution • Noise pollution • Air pollution • Water pollution Accept any other appropriate responses.	**(1)**

Type MS · Rising and falling currencies: effects on trade and the current account

Answer 3 of 17 · Question 2 part e · 3 marks

2019 JUN · Paper 02 · extract 2 of 6 · find part e in this mark scheme extract

Question Number	Answer	Mark
2(d)	**AO1 2 marks** Award 1 mark for reference to increasing productive capacity and 1 mark for reference to aggregate supply. Policies designed to increase the productive capacity of the economy **(1)** by influencing aggregate supply **(1)** OR Government measures **(1)** designed to increase aggregate supply in the economy **(1)**	**(2)**

Question Number	**Answer**	**Mark**
2(e)	**AO2 3 marks** Award 1 mark for identifying a relevant advantage of having a depreciating currency. Award 1 mark for developing the advantage. Award 1 mark for the response being in context. • An improvement on the current account **(1)** A weaker value of the peso leads to rising export sales **(1)** resulting in a larger trade surplus for the economy of the Philippines **(1)** • Economic growth for the economy of the Philippines **(1)** The price of exports should fall because of the weaker peso **(1)** This may result in an increase in demand for goods/services **(1)** Accept any other appropriate response.	**(3)**

Type MS · Rising and falling currencies: effects on trade and the current account

Answer 3 of 17 · Question 2 part e · 3 marks

2019 JUN · Paper 02 · extract 3 of 6 · find part e in this mark scheme extract

Question Number	Answer	Mark
2(f)	**AO2 3 marks** Award 1 mark for identifying a possible reason. Award 1 mark for developing the possible reason. Award 1 mark for the response being in context. • To access customers in different regions **(1)** Demand may have become saturated in the domestic market of the MNC **(1)** A growing economy such as India provides a much bigger market in which to sell their goods/services **(1)** • Cheaper resources such as labour **(1)** Countries such as India have cheaper skilled labour compared to the domestic market of the MNC **(1)** This allows the MNC to produce products at a much lower cost **(1)** Accept any other appropriate response.	**(3)**

Type MS · Rising and falling currencies: effects on trade and the current account

Answer 3 of 17 · Question 2 part e · 3 marks

2019 JUN · Paper 02 · extract 4 of 6 · find part e in this mark scheme extract

Question Number	Indicative content	Mark
2(g)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Trade blocs are usually groups of countries in specific regions that manage and promote trade activities • This can result in more free trade between member countries • This can benefit member countries such as Thailand because they have access to a wider market in ASEAN countries, such as Vietnam, in which to sell their goods and services • Firms in countries such as Thailand may be able to exploit economies of scale or specialisation can occur • Consumers may benefit with lower prices and/or greater choice of goods and services • Being a member of the ASEAN trade block may attract increased FDI • Membership of the trade bloc has contributed to an increase in GDP per capita from $122 to $4 021 **AO4** • Thailand may face increased competition as imports from other member countries increase • This may have a damaging effect on Thailand's domestic firms • Countries such as Thailand may rely too heavily on trade within the bloc rather than trading with non-member countries such as India • The overall benefits will depend on the ability of a country to compete within the region and the level of trade with non-member countries	**(9)**

Type MS · Rising and falling currencies: effects on trade and the current account

Answer 3 of 17 · Question 2 part e · 3 marks

2019 JUN · Paper 02 · extract 5 of 6 · find part e in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Rising and falling currencies: effects on trade and the current account

Answer 3 of 17 · Question 2 part e · 3 marks

2019 JUN · Paper 02 · extract 6 of 6 · find part e in this mark scheme extract

Question Number	Answer	Mark

2(a)	**AO2 1 mark** **C**	**(1)**

Question Number	Answer	Mark
2(b)	**AO1 1 mark** **B** Increased choice for consumers	**(1)**

Question Number	Answer	Mark
2(c)	**AO1 1 mark** Award 1 mark for **one** correct objective. • Economic growth • Low and stable inflation • Low unemployment • Surpluses or equilibrium on current account • Redistribution of income • Protection of the environment Accept any other appropriate responses.	**(1)**

Question Number	Answer	Mark
2(d)	**AO1 2 marks** Award 1 mark for reference to fixed exchange rate system and 1 mark for reference to increased When the price of a currency in a fixed exchange rate system **(1)** is officially increased against other currencies **(1)** **Or** When a government fixes **(1)** new higher exchange rate **(1)** Accept any other appropriate response	**(2)**

Type MS · Rising and falling currencies: effects on trade and the current account

Answer 4 of 17 · Question 2 part d · 2 marks

2020 JAN · Paper 02 (regional R) · extract 2 of 5 · find part d in this mark scheme extract

Question Number	Answer	Mark
2(e)	**AO2 3 marks** Award 1 mark for identifying a relevant reason Award 1 mark for developing the reason Award 1 mark for the response being in context • One reason is that the government can spend more within the economy **(1)**, this overspend can be used to invest in the public services such as infrastructure **(1)**, and this can create jobs within the Indian economy stimulating economic growth **(1).** Accept any other appropriate response.	**(3)**

Question Number	Answer	Mark
2(f)	**AO2 3 marks** Award 1 mark for identifying a pattern of trade Award 1 mark for developing the pattern of trade Award 1 mark for the response being in context • Developed countries such as Germany export valuable manufactured goods **(1)** such as cars and electrical goods **(1)** and import cheaper primary products such as tea and sugar **(1).** • Developed countries such as Germany have moved away from the primary sector **(1)** and have more developed secondary and tertiary sectors **(1).** They export finished goods to developing countries such as Bangladesh **(1).** Accept any other appropriate response.	**(3)**

Type MS · Rising and falling currencies: effects on trade and the current account

Answer 4 of 17 · Question 2 part d · 2 marks

2020 JAN · Paper 02 (regional R) · extract 3 of 5 · find part d in this mark scheme extract

Question Number	**Indicative content**
2(g)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Jobs may be created in Bangladesh with the investment from Japanese firms such as Honda and Nippon Koei • Nippon Koei have recruited 2,500 employees to work in its steel factories • Local businesses in Bangladesh may benefit from supplying MNCs with equipment and raw materials for car manufacturing • Honda may train local workers to be employed in the car factories which could result in a reduction in unemployment and an increase in the standard of living in Bangladesh • Economic growth may occur in Bangladesh as the government receives an increase in tax revenue from both the MNCs and the newly employed workers **AO4** • However, many of the Japanese MNCs are coming to Bangladesh for low wages which could result in poor working conditions for local employees • There is no guarantee that jobs will be created for managerial positions as many MNCs do not train local workers to a high level • MNCs may drive out local businesses as they take over businesses and gain market share • Some MNCs damage the local environment and the cost of cleaning up pollution is often left to the host government.

Type MS · Rising and falling currencies: effects on trade and the current account

Answer 4 of 17 · Question 2 part d · 2 marks

2020 JAN · Paper 02 (regional R) · extract 4 of 5 · find part d in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Rising and falling currencies: effects on trade and the current account

Answer 4 of 17 · Question 2 part d · 2 marks

2020 JAN · Paper 02 (regional R) · extract 5 of 5 · find part d in this mark scheme extract

Question Number	**Answer**	Mark

3(a)	**AO1 1 mark** **D** Higher taxation	**(1)**

Question Number	**Answer**	Mark
3(b)	**AO1 1 mark** **C** depreciation	**(1)**

Question Number	**Answer**	Mark
3(c)	**AO2 3 marks** Award 1 mark for identifying an impact Award 1 mark for developing the impact Award 1 mark for the response being in context • One impact is a fall in demand for Egyptian exports **(1).** Inflation of 17.7% makes domestic goods more expensive **(1)** so other countries may not buy Egyptian goods resulting in a deficit on the current account **(1)**. • One impact is an increase in imported goods **(1).** Inflation of 17.7% makes imports appear cheaper than Egyptian goods and services **(1)** so consumers prefer to purchase imports therefore having a negative impact on the current account **(1)**. Accept any other appropriate response.	**(3)**

Type MS · Rising and falling currencies: effects on trade and the current account

Answer 5 of 17 · Question 3 part b · 1 mark

2020 JAN · Paper 02 (regional R) · extract 2 of 5 · find part b in this mark scheme extract

Question Number	Indicative content
3(d)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Currency speculators have an impact on the exchange rate of a country due to supply and demand factors • Speculators will buy more currency if they believe that the exchange rate of the US$ will rise in the future. • The increase in demand for the currency causes the value of the exchange rate to rise compared to other currencies. • Conversely, the value of the exchange rate may fall if speculators sell a currency if they believe that the exchange rate will fall. • This causes a fall in the value of the currency due to an increase in the supply available. • The impact of speculators is often that their actions bring about what they predict will happen.

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Rising and falling currencies: effects on trade and the current account

Answer 5 of 17 · Question 3 part b · 1 mark

2020 JAN · Paper 02 (regional R) · extract 3 of 5 · find part b in this mark scheme extract

Question Number	Indicative content
3(e)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • The use of regulation could be an effective way to reduce usage especially as the fine of AUS$5 000 is very high • This could stop retailers issuing plastic bags to customers thereby reducing the chance of plastic bags ending up in litter • Most consumers and retailers will want to follow the regulations and will therefore not use plastic bags • This is supported by the Environment Minister who states that this is a popular policy with many people **AO4** • However, banning plastic bags by regulation and issuing fines does not mean its consumption will completely reduce demand • The plastic bags have been banned since 2018 but no fines have been given out for using the plastic bags • The effectiveness will also depend upon shoppers reporting retailers for giving out plastic bags • There needs to effective policing of the ban for it to work properly

Type MS · Rising and falling currencies: effects on trade and the current account

Answer 5 of 17 · Question 3 part b · 1 mark

2020 JAN · Paper 02 (regional R) · extract 4 of 5 · find part b in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Rising and falling currencies: effects on trade and the current account

Answer 5 of 17 · Question 3 part b · 1 mark

2020 JAN · Paper 02 (regional R) · extract 5 of 5 · find part b in this mark scheme extract

Question Number	Answer	Mark

3(a)	**AO1 1 mark** **B** government revenue is greater than government expenditure	**(1)**

Question Number	**Answer**	Mark
3(b)	**AO1 1 mark** **A** appreciation	**(1)**

Question Number	**Answer**	Mark
3(c)	**AO2 3 marks** Award 1 mark for identifying a reason Award 1 mark for developing the reason Award 1 mark for the response being in context • One reason is for business/consumer confidence **(1).** If prices of goods and services are stable at 3% **(1)** this can help consumers/firms plan for their future spending **(1).** • One reason is to keep Cyprus internationally competitive **(1).** This may lead to higher export sales if competitors have higher than 3% inflation **(1),** thus reducing unemployment **(1).** Accept any other appropriate response.	**(3)**

Type MS · Rising and falling currencies: effects on trade and the current account

Answer 6 of 17 · Question 3 part b · 1 mark

2020 JAN · Paper 02 · extract 2 of 5 · find part b in this mark scheme extract

Question Number	Indicative content	
3(d)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Changes in the interest rates in South Africa will affect whether people will want to deposit money in South Africa • If South Africa has higher interest rates relative to other countries it will become more attractive to deposit money in South Africa • This is often referred to as hot money • Savers will get a better rate of return from saving in South African banks – now 6.75% • Therefore demand for the South African Rand will rise causing an appreciation of the currency	
Level	**Mark**	**Descriptor**
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Rising and falling currencies: effects on trade and the current account

Answer 6 of 17 · Question 3 part b · 1 mark

2020 JAN · Paper 02 · extract 3 of 5 · find part b in this mark scheme extract

Question Number	Indicative content
3(e)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Business tax is a direct tax on the profit of a firm • Cuts in business taxes can help provide a firm with additional funds to expand its factors of production • Lower business taxes can also provide an incentive to firms to increase investment thereby increasing output • This is likely to result in increasing GDP and employment • The US has already lowered business taxes from 35% to 21% and has plans to reduce this further to 15% • This could result in firms setting up in the US rather than other countries such as Mexico who have a business tax of 30% thereby increasing productive capacity and total output from the increased investment **AO4** • However, MNCs might be attracted to countries in Figure 3 such as Canada and Ireland which have lower business taxes compared to the US • Lowering business taxes by such a large percent may result in less tax revenue for the US government rather than any increase in investment if firms do not locate in the US • Less government revenue may result in less government investment • There is no guarantee that firms will reinvest the additional capital into expansion and could just give the saving in taxes to shareholders in the form of dividends

Type MS · Rising and falling currencies: effects on trade and the current account

Answer 6 of 17 · Question 3 part b · 1 mark

2020 JAN · Paper 02 · extract 4 of 5 · find part b in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
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Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Rising and falling currencies: effects on trade and the current account

Answer 6 of 17 · Question 3 part b · 1 mark

2020 JAN · Paper 02 · extract 5 of 5 · find part b in this mark scheme extract

Question Number	Answer	Mark

Type MS · Rising and falling currencies: effects on trade and the current account

Answer 7 of 17 · Question 2 part a · 1 mark

2020 NOV · Paper 02 (regional R) · extract 1 of 5 · find part a in this mark scheme extract

2(a)	**AO2 1 mark** A an increase in exports and a decrease in imports	**(1)**

Question Number	**Answer**	Mark
2(b)	**AO1 1 mark** C GDP	**(1)**

Question Number	**Answer**	Mark
2(c)	**AO1 1 mark** Award 1 mark for **one** reason • To meet basic needs • To raise living standards • For ethical reasons Accept any other appropriate response	**(1)**

Question Number	**Answer**	Mark
2(d)	**AO1 2 marks** Award 1 mark for reference to structures and 1 mark for reference to being needed for the economy The systems/structures such as the transport network **(1)** needed for the operation of an economy **(1)** Accept any other appropriate response	**(2)**

Type MS · Rising and falling currencies: effects on trade and the current account

Answer 7 of 17 · Question 2 part a · 1 mark

2020 NOV · Paper 02 (regional R) · extract 2 of 5 · find part a in this mark scheme extract

Question Number	Answer	Mark
2(e)	**AO2 3 marks** Award 1 mark for identifying a relevant impact Award 1 mark for developing the impact Award 1 mark for the response being in context • One impact is that direct tax revenues may increase **(1).** By having more workers in employment paying income tax **(1)** results in an increase in tax revenues for the German Government to spend in the economy **(1)** • One impact is that indirect tax revenues may increase **(1).** With more people in employment, demand for goods and services may increase **(1).** Taxes such as VAT for the German Government can then be used for government expenditure **(1)** Accept any other appropriate response	**(3)**

Question Number	Answer	Mark
2(f)	**AO2 3 marks** Award 1 mark for identifying a reason Award 1 mark for developing the reason Award 1 mark for the response being in context • Some foreign-made toys may fail to follow requirements for product safety in the manufacturing process **(1).** This could result in unsafe toys being bought by UK consumers **(1).** The unsafe products may cause serious illness and even possibly death of a child **(1)** • The country of origin may have lower safety standards **(1).** The UK may have higher safety standards compared to other countries **(1).** This may have resulted in toys which are unsafe for UK consumers **(1)** Accept any other appropriate response	**(3)**

Type MS · Rising and falling currencies: effects on trade and the current account

Answer 7 of 17 · Question 2 part a · 1 mark

2020 NOV · Paper 02 (regional R) · extract 3 of 5 · find part a in this mark scheme extract

Question Number	Indicative content	Mark
2(g)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Deregulation is a supply-side policy of making markets more competitive by removing barriers such as regulations • Regulations such as labour laws often create additional costs for firms which makes them less competitive in comparison to firms abroad • Experts have advised the government to reduce regulation in markets such as finance and transport • Removing labour market regulations such as a reduction in the minimum wage may result in the tourism sector reducing its overall labour costs and therefore being able to employ more workers • This may result in a reduction in the 11.6% rates of 15-29 year olds • Removing competition laws in the finance sector may also result in more firms entering the market and therefore employing workers and thereby reducing unemployment in South Korea **AO4** • However, deregulation may just result in firms saving on labour costs but not employing anymore workers • Reducing the minimum wage may result in less people willing and able to work thereby increasing unemployment rather than reducing it • Regulations are designed to protect workers, the environment and consumers so any removal of them may result in negative consequences for South Korea and lower standards of living • There are other supply-side policies such as lower income tax to encourage working which might be more effective in reducing unemployment • The overall effectiveness will depend on a range of economic factors within the South Korea economy not just the level of regulation	**(9)**

Type MS · Rising and falling currencies: effects on trade and the current account

Answer 7 of 17 · Question 2 part a · 1 mark

2020 NOV · Paper 02 (regional R) · extract 4 of 5 · find part a in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	**1–3**	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	**4–6**	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	**7–9**	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Rising and falling currencies: effects on trade and the current account

Answer 7 of 17 · Question 2 part a · 1 mark

2020 NOV · Paper 02 (regional R) · extract 5 of 5 · find part a in this mark scheme extract

Question Number	**Answer**	Mark

Type MS · Rising and falling currencies: effects on trade and the current account

Answer 8 of 17 · Question 2 part a · 1 mark

2021 JUN · Paper 02 · extract 1 of 6 · find part a in this mark scheme extract

2(a)	**AO1 1 mark** The only correct answer is: **D** A decrease in exports and an increase in imports A is not correct because an appreciation would result in a decrease in exports and an increase in imports B is not correct because an appreciation would result in a decrease in exports and an increase in imports C is not correct because an appreciation would result in a decrease in exports and an increase in imports	**(1)**

Question Number	Which **one** of the following is likely to result in poverty? Answer	Mark
2(b)	**AO1 1 mark** The only correct answer is: **B** Low GDP per capita A is not correct because this can result in people gaining jobs and therefore income C is not correct because economic agents would retain more of their income D is not correct because more people are in paid employment	**(1)**

Type MS · Rising and falling currencies: effects on trade and the current account

Answer 8 of 17 · Question 2 part a · 1 mark

2021 JUN · Paper 02 · extract 2 of 6 · find part a in this mark scheme extract

Question Number	State **one** effect on the balance of payments of improved quality of foreign goods. Answer	Mark
2(c)	**AO1 1 mark** Award 1 mark for **one** correct effect • Higher imports • Worsened balance of payments • Lower exports • Increased deficit • Worsened surplus Accept any other appropriate response	**(1)**

Question Number	What is meant by the term free trade? Answer	Mark
2(d)	**AO1 2 marks** Award 1 mark for reference to the import/export of goods and 1 mark for reference to not being taxed Goods/services coming into or going out of a country **(1)** which are not controlled/taxed **(1)** Accept any other appropriate response	**(2)**

Question Number	Explain **one** impact of rising unemployment on consumer confidence for a country such as Argentina. Answer	Mark
2(e)	**AO2 3 marks** Award 1 mark for identifying a relevant impact Award 1 mark for developing the impact Award 1 mark for the response being context • One impact is that consumer confidence is likely to fall **(1)**. High rates of unemployment of 10.1% may make consumers more cautious **(1)**. This can cause lower levels of consumer spending **(1)** Accept any other appropriate response	**(3)**

Type MS · Rising and falling currencies: effects on trade and the current account

Answer 8 of 17 · Question 2 part a · 1 mark

2021 JUN · Paper 02 · extract 3 of 6 · find part a in this mark scheme extract

Question Number	Explain **one** reason why the reduced cost of communication has helped to increase globalisation. Answer	Mark
2(f)	**AO2 3 marks** Award 1 mark for identifying a possible reason Award 1 mark for developing the reason Award 1 mark for the response being in context • One reason is the internet makes it cheaper to communicate with other overseas markets **(1)**. Many small firms are able to use e-commerce marketplaces such as Alibaba **(1)**. This allows firms of all sizes to sell to a wider geographical area/trade globally **(1)** • One reason is that you do not need face to face meetings **(1)**. The internet allows for communication via videoconferencing/online meetings **(1)**. These improvements in communication links mean it is easier for international businesses to interact **(1)** Accept any other appropriate response	**(3)**

Type MS · Rising and falling currencies: effects on trade and the current account

Answer 8 of 17 · Question 2 part a · 1 mark

2021 JUN · Paper 02 · extract 4 of 6 · find part a in this mark scheme extract

Question Number	With reference to the data above and your knowledge of economics, assess the use of taxation to protect the environment in a country such as Germany. Indicative content
2(g)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Taxation can be imposed on activities that damage the environment • Taxation is used to ensure consumers and producers pay the full social cost of producing a good or service • Increasing taxation from 7% to 19% would substantially increase the price of meat for consumers which may result in less demand for meat products • This would reduce the amount of greenhouse gas emissions caused by animals • Increased taxation could also raise additional revenue for the German Government • This could be used to finance other pollution reduction schemes or improve animal welfare • Taxation provides a market incentive for firms and consumers to switch to meat alternatives which may not cause as much environmental damage **AO4** • However, increasing taxes on meat may reduce incomes for farmers if demand falls for meat products • Increasing taxes on meat products may reduce the choice for consumers of what food they can afford, particularly low-income families • Demand for meat may be quite inelastic and an increase in tax may do little to reduce demand and therefore only marginally reduce the amount of pollution • There are other methods that might be more effective in protecting the environment, such as subsidies, fines or pollution permits • The German Government should use a combination of methods to protect the environment

Type MS · Rising and falling currencies: effects on trade and the current account

Answer 8 of 17 · Question 2 part a · 1 mark

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Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Rising and falling currencies: effects on trade and the current account

Answer 8 of 17 · Question 2 part a · 1 mark

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Question Number	What is the total amount of revenue raised by indirect taxes? Answer	Mark

Type MS · Rising and falling currencies: effects on trade and the current account

Answer 9 of 17 · Question 2 part a · 1 mark

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2(a)	**AO1 1 mark** The only correct answer is: **B** Higher exports A is not correct because this is likely to increase inflation C is not correct because this is likely to create employment D is not correct because this is decided by the government	**(1)**

Question Number	**Answer**	Mark
2(b)	**AO1 1 mark** The only correct answer is: **C** Relative poverty A is not correct because this is not having the means to survive B is not correct because this describes the range of incomes in an economy D is not correct because this refers to the disincentive effect of benefit payments	**(1)**

Question Number	**Answer**	Mark
2(c)	**AO1 1 mark** Award 1 mark for **one** correct effect • Lower demand for imports • Improved balance of payments • Higher demand for exports • Reduced deficit • Improved surplus Accept any other appropriate responses	**(1)**

Type MS · Rising and falling currencies: effects on trade and the current account

Answer 9 of 17 · Question 2 part a · 1 mark

2021 NOV · Paper 02 · extract 2 of 6 · find part a in this mark scheme extract

Question Number	**Answer**	Mark
2(d)	**AO1 2 marks** Award 1 mark for reference to the components of fiscal policy and 1 mark for reference to (aggregate) demand Decisions about government spending, taxation and borrowing **(1)** that affect (aggregate) demand in the economy **(1)** Accept any other appropriate response	**(2)**

Question Number	**Answer**	Mark
2(e)	**AO2 3 marks** Award 1 mark for identifying a relevant impact Award 1 mark for developing the impact Award 1 mark for the response being in context • One impact is that business confidence is likely to fall **(1)**. High rates of unemployment of 44% may make businesses more cautious **(1)**. This is because there will be fewer people able to purchase goods/services from firms **(1)** Accept any other appropriate response	**(3)**

Type MS · Rising and falling currencies: effects on trade and the current account

Answer 9 of 17 · Question 2 part a · 1 mark

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Question Number	**Answer**	Mark
2(f)	**AO2 3 marks** Award 1 mark for identifying a possible reason Award 1 mark for developing the reason Award 1 mark for the response being in context • One reason is that more goods are able to be transported at the same time **(1)**. This reduces the cost of trading between countries **(1)**. This means increased trade which leads to globalisation **(1)** • One reason is that goods can be cheaply transported long distances **(1)** resulting in more firms being able to source products from low-cost countries **(1)**. This increased trade between countries leads to more globalisation **(1)** Accept any other appropriate response	**(3)**

Type MS · Rising and falling currencies: effects on trade and the current account

Answer 9 of 17 · Question 2 part a · 1 mark

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Question Number	**Indicative content**
2(g)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Healthcare provides medicines and medical treatments to increase the overall health of the nation • The external benefit of providing healthcare to an individual often exceeds the private benefit • Free access to healthcare means that illnesses can be treated quickly therefore improving life expectancy across all age groups in England • This can help to reduce inequality and poverty by enabling the population to work and gain income from being fit and healthy • Having a healthier workforce reduces the amount of sickness absence and potentially improves labour productivity • This could result in economic growth and therefore help to reduce poverty and inequality in England • Healthcare also provides many jobs for healthcare workers including nurses, doctors and by building new hospitals **AO4** • However, providing free healthcare cost the tax payer £134bn in 2020 • There is an opportunity cost of spending so much money on healthcare which could be spent on other poverty reduction methods • Having a healthcare system which is free means that there is often an excess demand for healthcare, leading to the NHS being constantly overstretched • This results in shortages of hospital beds and may not reduce poverty and inequality • There are other methods that might be more effective in reducing poverty and inequality, such as education or progressive taxation • There should be a combination of methods used to reduce poverty and inequality in England

Type MS · Rising and falling currencies: effects on trade and the current account

Answer 9 of 17 · Question 2 part a · 1 mark

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Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Rising and falling currencies: effects on trade and the current account

Answer 9 of 17 · Question 2 part a · 1 mark

2021 NOV · Paper 02 · extract 6 of 6 · find part a in this mark scheme extract

Question Number	**Answer**	Mark

Type MS · Rising and falling currencies: effects on trade and the current account

Answer 10 of 17 · Question 1 part b · 1 mark

2022 JUN · Paper 02 (regional R) · extract 1 of 5 · find part b in this mark scheme extract

Number		
1(a)	**AO2 1 mark** The only correct answer is: **D** An airline cuts jobs during a global recession A is not correct because it is structural unemployment B is not correct because it is seasonal unemployment C is not correct because it is frictional unemployment	**(1)**

Question Number	**Answer**	Mark
1(b)	**AO1 1 mark** The only correct answer is: **B** devaluation A is not correct because this is caused by market forces C is not correct because this is an increase in the exchange rate D is not correct because this is an increase in the exchange rate caused by market forces	**(1)**

Question Number	What is meant by the term exports? **Answer**	Mark
1(c)	**AO1 2 marks** Award 1 mark for reference to goods and 1 mark for reference to being to another country The sale of goods or services **(1)** to another country **(1)** Accept any other appropriate response	**(2)**

Type MS · Rising and falling currencies: effects on trade and the current account

Answer 10 of 17 · Question 1 part b · 1 mark

2022 JUN · Paper 02 (regional R) · extract 2 of 5 · find part b in this mark scheme extract

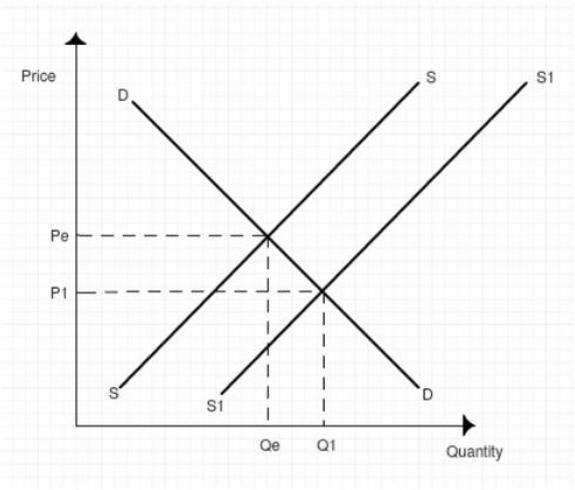
Question Number	Describe one impact that education may have on inequality and poverty. **Answer**	Mark
1(d)	**AO1 2 marks** Award 1 mark for reference reducing inequality and poverty and 1 mark for reference to skills Education helps to reduce inequality and poverty **(1)** by providing skills needed to get a job **(1)** Accept any other appropriate response	**(2)**

Question Number	Calculate how much inflation there has been between 2015 and 2019. **Answer**	Mark
1(e)	**A02 2 marks** Award 1 mark for showing the calculation 110.2 - 100 **(1)** Award 1 mark for the correct answer = 10.2% **(1)** Award 2 marks if the correct answer 10.2% is shown, with percentage sign, even if no calculations are shown Award 1 mark if the answer given is 10.2, but with no percentage sign, with or without calculations shown Do not award marks for the formula.	**(2)**

Type MS · Rising and falling currencies: effects on trade and the current account

Answer 10 of 17 · Question 1 part b · 1 mark

2022 JUN · Paper 02 (regional R) · extract 3 of 5 · find part b in this mark scheme extract

Question Number	Draw the effects of the introduction of a subsidy on the equilibrium price and quantity of renewable energy. Label the new curve, the new equilibrium price and the new equilibrium quantity. **Answer**	Mark
1(f)	**AO2 3 marks** Award 1 mark for rightward shift of supply, labelled Award 1 mark for lower equilibrium price, labelled Award 1 mark for higher equilibrium quantity, labelled  	**(3)**

Question Number	Explain the likely impact of a decrease in the UK interest rates on the UK pound. **Answer**	Mark
1(g)	**AO2 3 marks** Award 1 mark for identifying a relevant impact Award 1 mark for developing the impact Award 1 mark for the response being in context • One impact is that the currency will depreciate **(1).** It will become less attractive to deposit money in the UK **(1).** Therefore, demand for the UK pound (£) will fall **(1)** Accept any other appropriate response.	**(3)**

Type MS · Rising and falling currencies: effects on trade and the current account

Answer 10 of 17 · Question 1 part b · 1 mark

2022 JUN · Paper 02 (regional R) · extract 4 of 5 · find part b in this mark scheme extract

Question Number	Analyse the disadvantages of free trade for domestic businesses located within this free trade area. **Indicative content**	Mark
1(h)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Free trade is a situation in which goods and services coming into or going out of a country/trade area are not controlled or taxed • Free trade means that domestic businesses are no longer protected • Domestic businesses will face greater competition from firms within the free trade area • Businesses may see increased competition from cheaper, low-cost firms within the free trade area who may have lower wage costs compared to domestic businesses • This could result in falling sales for businesses in the EU that will tend to have higher labour costs compared to Vietnam	**(6)**

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Rising and falling currencies: effects on trade and the current account

Answer 10 of 17 · Question 1 part b · 1 mark

2022 JUN · Paper 02 (regional R) · extract 5 of 5 · find part b in this mark scheme extract

Question Number	**Answer**	Mark

Type MS · Rising and falling currencies: effects on trade and the current account

Answer 11 of 17 · Question 3 part b · 1 mark

2023 JAN · Paper 02 (regional R) · extract 1 of 7 · find part b in this mark scheme extract

3(a)	**AO1 1 mark** The only correct answer is: **C** The construction of a factory in India by a Chinese firm A is not correct because this is an example of exporting goods B is not correct because this an example of domestic investment D is not correct because this an example of domestic growth/expansion	**(1)**

Question Number	If the exchange rate changes from £1 = $1.40 to £1 = $1.30 then **Answer**	Mark
3(b)	**AO1 1 mark** The only correct answer is: **D** UK exports to the US will be cheaper A is not correct because the UK pound has depreciated not appreciated B is not correct because US holidays will become more expensive C is not correct because US exports will become more expensive	**(1)**

Type MS · Rising and falling currencies: effects on trade and the current account

Answer 11 of 17 · Question 3 part b · 1 mark

2023 JAN · Paper 02 (regional R) · extract 2 of 7 · find part b in this mark scheme extract

Question Number	Explain **one** reason why an improvement in the quality of domestic goods may have resulted in a positive impact on Pakistan's current account. **Answer**	Mark
3(c)	**AO2 3 marks** Award 1 mark for identifying a relevant reason Award 1 mark for developing the reason Award 1 mark for the response being in context • One reason is that there may be increased demand for Pakistani exports **(1)** if consumers overseas prefer to buy better quality goods made in Pakistan **(1)**. This may have a positive impact on the current account of Pakistan if there is an overall increase in net exports **(1)** • One reason is that this may reduce the quantity of imports into Pakistan **(1)** as it is more advantageous to purchase better quality domestically produced goods rather than import from other countries **(1)**. This could result in a decrease in net imports **(1)** Accept any other appropriate response	**(3)**

Type MS · Rising and falling currencies: effects on trade and the current account

Answer 11 of 17 · Question 3 part b · 1 mark

2023 JAN · Paper 02 (regional R) · extract 3 of 7 · find part b in this mark scheme extract

Question Number	Analyse the benefits of investing in healthcare for a country such as China. **Indicative content**	Mark
3(d)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Healthcare provides medicines and medical treatments to increase the overall health of the nation • The social benefit of providing healthcare to an individual often exceeds the private benefit through immunisation programmes • Investing in healthcare means that illnesses can be treated quickly therefore improving life expectancy across all age groups in China • Low income households would not be able afford healthcare if the government did not pay for most (90%) of the cost - hence some may lose income from not being able to work • Having a healthier workforce reduces the amount of sickness absence and potentially improves labour productivity • This could result in economic growth and therefore help to improve standards of living in China • Healthcare also provides many jobs for healthcare workers including nurses and doctors	**(6)**

Type MS · Rising and falling currencies: effects on trade and the current account

Answer 11 of 17 · Question 3 part b · 1 mark

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Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
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Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Rising and falling currencies: effects on trade and the current account

Answer 11 of 17 · Question 3 part b · 1 mark

2023 JAN · Paper 02 (regional R) · extract 5 of 7 · find part b in this mark scheme extract

Question Number	With reference to the data above and your knowledge of economics, assess the drawbacks for the UK of having MNCs located within the country. **Indicative content**	Mark
3(e)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • MNCs are companies that operate in many different countries • By their very nature MNCs are therefore able to easily move profits made in one country to another country that may have lower business taxes than the UK • This helps the MNC to avoid paying taxes to the UK Government • This has been estimated to be £34.8bn in 2019-2020 in the UK and has been increasing over time • This £34.8bn could have been spent by the UK Government on public services such as education and healthcare • MNCs often cause environmental damage from their operations **AO4** • However, MNCs do bring many advantages as well as disadvantages to the host country • Not all MNCs move profits abroad and do contribute to taxes from their operations within the UK • MNCs create much needed jobs when building factories and production facilities in the UK • Local businesses may benefit from supplying the MNC with raw materials or labour • It does depend on the individual MNC as to whether the advantages outweigh the disadvantages from poor corporate behaviour within the UK	**(9)**

Type MS · Rising and falling currencies: effects on trade and the current account

Answer 11 of 17 · Question 3 part b · 1 mark

2023 JAN · Paper 02 (regional R) · extract 6 of 7 · find part b in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Rising and falling currencies: effects on trade and the current account

Answer 11 of 17 · Question 3 part b · 1 mark

2023 JAN · Paper 02 (regional R) · extract 7 of 7 · find part b in this mark scheme extract

Question Number	Calculate, to two decimal places, the **percentage change in GDP per capita** in Egypt between 2019 and 2020. You are advised to show your working. **Answer**	Mark

Type MS · Rising and falling currencies: effects on trade and the current account

Answer 12 of 17 · Question 2 part g · 9 marks

2023 JAN · Paper 02 · extract 1 of 6 · find part g in this mark scheme extract

2(a)	**AO1 1 mark** The only correct answer is: **C** invisible exports A is not correct because this is trade in goods leaving the country B is not correct because this is trade in goods entering the country D is not correct because this is money leaving the country	**(1)**

Question Number	Which **one** of the following is likely to help protect the environment? **Answer**	Mark
2(b)	**AO1 1 mark** The only correct answer is: **A** An increase in fines B is not correct because this will allow more pollution C is not correct because this will reduce control of pollution D is not correct because this will reduce protected areas of the environment	**(1)**

Question Number	State **one** possible disadvantage of economic growth. **Answer**	Mark
2(c)	**AO1 1 mark** Award 1 mark for **one** correct disadvantage • Inflation • Damage to the environment • Using up unsustainable resources Accept any other appropriate response	**(1)**

Type MS · Rising and falling currencies: effects on trade and the current account

Answer 12 of 17 · Question 2 part g · 9 marks

2023 JAN · Paper 02 · extract 2 of 6 · find part g in this mark scheme extract

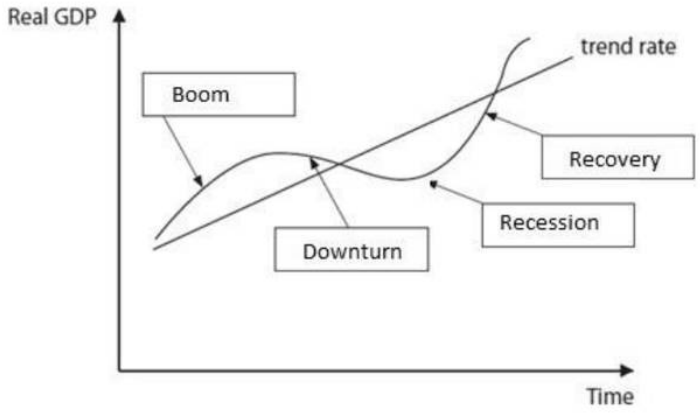
Question Number	What is meant by the term privatisation? **Answer**	Mark
2(d)	**AO1 2 marks** Award 1 mark for reference to selling a government controlled activity and 1 mark to private investors The act of selling a company/activity controlled by the government **(1)** to private investors **(1)** Accept any other appropriate response	**(2)**

Question Number	Explain **one** possible reason why the Scottish Government wants to reduce poverty and inequality. **Answer**	Mark
2(e)	**AO2 3 marks** Award 1 mark for identifying a relevant reason Award 1 mark for developing the reason Award 1 mark for the response being in context • One reason is to meet basic needs **(1)**. Many people do not have enough income for food and shelter **(1)**. By investing £37.2m fewer low income households may suffer from poverty **(1)** • One reason is to raise standards of living **(1).** Low income households would be able to access more goods and services **(1)** resulting in fewer low income households suffering from relative poverty **(1)** Accept any other appropriate response	**(3)**

Type MS · Rising and falling currencies: effects on trade and the current account

Answer 12 of 17 · Question 2 part g · 9 marks

2023 JAN · Paper 02 · extract 3 of 6 · find part g in this mark scheme extract

Question Number	Using the diagram below, draw and label the remaining **three** stages of the economic cycle in the boxes on the diagram. **Answer**	Mark
2(f)	**AO2 3 marks** Award 1 mark for downturn, labelled Award 1 mark for recession, labelled Award 1 mark for recovery, labelled  	**(3)**

Type MS · Rising and falling currencies: effects on trade and the current account

Answer 12 of 17 · Question 2 part g · 9 marks

2023 JAN · Paper 02 · extract 4 of 6 · find part g in this mark scheme extract

Question Number	With reference to the data above and your knowledge of economics, assess the likely impact on the demand for US exports to Australia after the depreciation of the US dollar. **Indicative content**	Mark
2(g)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • A depreciation is where the value of currency falls relative to another currency • A depreciation of the US dollar against the Australian dollar may result in an increase in the amount of exports of goods between the US and Australia • This is because US exports are now cheaper to purchase as fewer Australian dollars are required to be exchanged for US dollars • This could result in more exports of machinery, vehicles, medical instruments and aircraft between the two countries • This could further improve the trade balance between the US and Australia if more exports are traded compared to imports **AO4** • However, a depreciation of the US dollar may not result in an overall increase in exports of goods between the US and Australia • The impact will depend on the size and duration of the depreciation • The impact will also depend on PED for US exports • The amount of goods traded between the two countries will not just depend on the exchange rate between the US and Australia • The quality of US exports is a factor in whether Australia will purchase more US made goods, not just the exchange rate	**(9)**

Type MS · Rising and falling currencies: effects on trade and the current account

Answer 12 of 17 · Question 2 part g · 9 marks

2023 JAN · Paper 02 · extract 5 of 6 · find part g in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Rising and falling currencies: effects on trade and the current account

Answer 12 of 17 · Question 2 part g · 9 marks

2023 JAN · Paper 02 · extract 6 of 6 · find part g in this mark scheme extract

Question Number	What was the rate of inflation if the consumer price index (CPI) of a country rose from 120 to 150? **Answer**	Mark

2(a)	**AO1 1 marks** The only correct answer is: **A** asset purchasing B is not correct because this is when a government sells assets to private investors C is not correct because this is the payment for borrowing funds D is not correct because this is the removal of government controls	**(1)**

Question Number	If the exchange rate changes from £1 = €1.20 to £1 = €1.10 then Answer	Mark
2(b)	**AO2 1 mark** The only correct answer is: **D** UK exports to Italy will be cheaper A is not correct because the £ has depreciated against the € B is not correct because holidays in Italy will be more expensive for UK tourists C is not correct because Italian imports will be more expensive	**(1)**

Question Number	State **one** possible trade-off with economic growth. Answer	Mark
2(c)	**AO1 1 mark** Award 1 mark for **one** trade-off. • Inflation • Environmental protection • Damage to the environment Accept any other appropriate response	**(1)**

8

Type MS · Rising and falling currencies: effects on trade and the current account

Answer 13 of 17 · Question 2 part b · 1 mark

2023 JUN · Paper 02 (regional R) · extract 2 of 6 · find part b in this mark scheme extract

Question Number	What is meant by the term devaluation? Answer	Mark
2(d)	**AO1 2 marks** Award 1 mark for reference to decrease in exchange rate and 1 mark for reference to being caused by the government A decrease in the exchange rate **(1)** caused by government intervention **(1)** Accept any other appropriate response	**(2)**

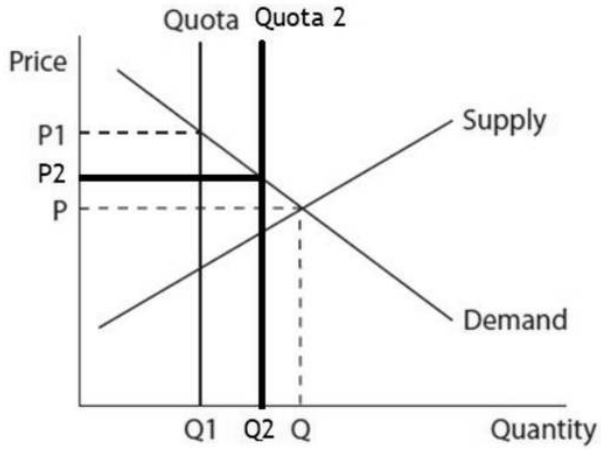
Question Number	Explain **one** way government spending on infrastructure can benefit an economy such as the US. Answer	Mark
2(e)	**AO2 3 marks** Award 1 mark for identifying a relevant way Award 1 mark for developing the way Award 1 mark for the response being in context • One way is to create jobs **(1).** The building of roads and bridges will require construction workers **(1).** This can help to reduce unemployment for the US **(1)** • One way is to improve the productive potential of an economy **(1).** Building roads and bridges can help to improve the transport of goods and services around the country **(1).** This can result in an increase in aggregate supply for the US **(1)** Accept any other appropriate response	**(3)**

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Type MS · Rising and falling currencies: effects on trade and the current account

Answer 13 of 17 · Question 2 part b · 1 mark

2023 JUN · Paper 02 (regional R) · extract 3 of 6 · find part b in this mark scheme extract

Question Number	Using the diagram below, draw the effects of the new quota on the equilibrium price and quantity of fish. Label the new curve, the new equilibrium price and new equilibrium quantity. Answer	Mark
2(f)	**AO2 3 marks** Award 1 mark for rightward shift of perfectly inelastic supply curve, labelled Award 1 mark for lower equilibrium price, labelled Award 1 mark for higher equilibrium quantity, labelled  	**(3)**

10

Type MS · Rising and falling currencies: effects on trade and the current account

Answer 13 of 17 · Question 2 part b · 1 mark

2023 JUN · Paper 02 (regional R) · extract 4 of 6 · find part b in this mark scheme extract

Question Number	With reference to the data above and your knowledge of economics, assess the benefits of having a fiscal surplus for a city such as San Francisco. Indicative content	Mark
2(g)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • A fiscal surplus is when tax receipts are greater than spending • In this case, San Francisco is expecting a surplus of $108m • The fiscal surplus can be used in a number of ways, such as, further spending on homelessness and mental health which could benefit the residents who live in San Francisco • It could use the surplus to reduce taxes for the residents of the city • Alternatively, it could fund new education and training programmes or improve existing public services such as policing and public safety • If the city has any debts, it has extra funds to repay them with the $108m surplus • This reduces the interest payable on any debt and helps the local economy in the future **AO4** • However, there can be disadvantages to having a fiscal surplus • Often it means that tax rates may be too high in the first place and this could have a negative impact on the taxpayers of the city • The fiscal surplus could have been caused by cuts to spending on public services in the city • This could have a detrimental impact on low-income families who may rely more on these for basic needs • This could result in an increase in inequality in San Francisco in the long term • The impact will depend on how long the fiscal surplus can be maintained and how it is spent within the economy	**(9)**

Type MS · Rising and falling currencies: effects on trade and the current account

Answer 13 of 17 · Question 2 part b · 1 mark

2023 JUN · Paper 02 (regional R) · extract 5 of 6 · find part b in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
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12

Type MS · Rising and falling currencies: effects on trade and the current account

Answer 13 of 17 · Question 2 part b · 1 mark

2023 JUN · Paper 02 (regional R) · extract 6 of 6 · find part b in this mark scheme extract

Question Number	What is the rate of inflation if the Consumer Price Index (CPI) in an economy increased from 1000 to 1050 in one year? Answer	Mark

2(a)	**AO1 1 marks** The only correct answer is: **A** asset purchasing B is not correct because this is when a government sells assets to private investors C is not correct because this is the payment for borrowing funds D is not correct because this is the removal of government controls	**(1)**

Question Number	If the exchange rate changes from £1 = €1.20 to £1 = €1.10 then Answer	Mark
2(b)	**AO2 1 mark** The only correct answer is: **D** UK exports to Italy will be cheaper A is not correct because the £ has depreciated against the € B is not correct because holidays in Italy will be more expensive for UK tourists C is not correct because Italian imports will be more expensive	**(1)**

Question Number	State **one** possible trade-off with economic growth. Answer	Mark
2(c)	**AO1 1 mark** Award 1 mark for **one** trade-off. • Inflation • Environmental protection • Damage to the environment Accept any other appropriate response	**(1)**

8

Type MS · Rising and falling currencies: effects on trade and the current account

Answer 14 of 17 · Question 2 part d · 2 marks

2023 JUN · Paper 02 (regional R) · extract 2 of 6 · find part d in this mark scheme extract

Question Number	What is meant by the term devaluation? Answer	Mark
2(d)	**AO1 2 marks** Award 1 mark for reference to decrease in exchange rate and 1 mark for reference to being caused by the government A decrease in the exchange rate **(1)** caused by government intervention **(1)** Accept any other appropriate response	**(2)**

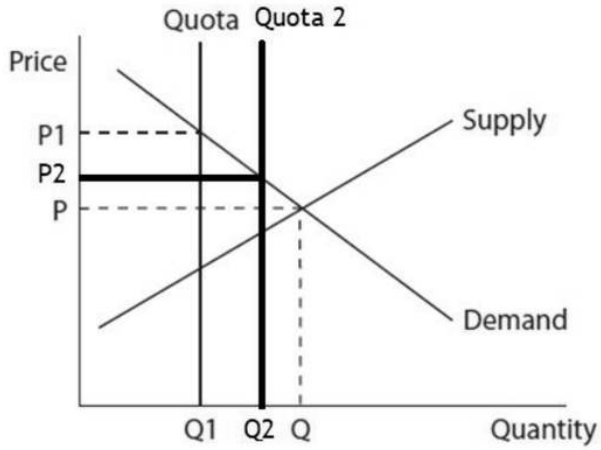
Question Number	Explain **one** way government spending on infrastructure can benefit an economy such as the US. Answer	Mark
2(e)	**AO2 3 marks** Award 1 mark for identifying a relevant way Award 1 mark for developing the way Award 1 mark for the response being in context • One way is to create jobs **(1).** The building of roads and bridges will require construction workers **(1).** This can help to reduce unemployment for the US **(1)** • One way is to improve the productive potential of an economy **(1).** Building roads and bridges can help to improve the transport of goods and services around the country **(1).** This can result in an increase in aggregate supply for the US **(1)** Accept any other appropriate response	**(3)**

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Type MS · Rising and falling currencies: effects on trade and the current account

Answer 14 of 17 · Question 2 part d · 2 marks

2023 JUN · Paper 02 (regional R) · extract 3 of 6 · find part d in this mark scheme extract

Question Number	Using the diagram below, draw the effects of the new quota on the equilibrium price and quantity of fish. Label the new curve, the new equilibrium price and new equilibrium quantity. Answer	Mark
2(f)	**AO2 3 marks** Award 1 mark for rightward shift of perfectly inelastic supply curve, labelled Award 1 mark for lower equilibrium price, labelled Award 1 mark for higher equilibrium quantity, labelled  	**(3)**

10

Type MS · Rising and falling currencies: effects on trade and the current account

Answer 14 of 17 · Question 2 part d · 2 marks

2023 JUN · Paper 02 (regional R) · extract 4 of 6 · find part d in this mark scheme extract

Question Number	With reference to the data above and your knowledge of economics, assess the benefits of having a fiscal surplus for a city such as San Francisco. Indicative content	Mark
2(g)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • A fiscal surplus is when tax receipts are greater than spending • In this case, San Francisco is expecting a surplus of $108m • The fiscal surplus can be used in a number of ways, such as, further spending on homelessness and mental health which could benefit the residents who live in San Francisco • It could use the surplus to reduce taxes for the residents of the city • Alternatively, it could fund new education and training programmes or improve existing public services such as policing and public safety • If the city has any debts, it has extra funds to repay them with the $108m surplus • This reduces the interest payable on any debt and helps the local economy in the future **AO4** • However, there can be disadvantages to having a fiscal surplus • Often it means that tax rates may be too high in the first place and this could have a negative impact on the taxpayers of the city • The fiscal surplus could have been caused by cuts to spending on public services in the city • This could have a detrimental impact on low-income families who may rely more on these for basic needs • This could result in an increase in inequality in San Francisco in the long term • The impact will depend on how long the fiscal surplus can be maintained and how it is spent within the economy	**(9)**

11

Type MS · Rising and falling currencies: effects on trade and the current account

Answer 14 of 17 · Question 2 part d · 2 marks

2023 JUN · Paper 02 (regional R) · extract 5 of 6 · find part d in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
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12

Type MS · Rising and falling currencies: effects on trade and the current account

Answer 14 of 17 · Question 2 part d · 2 marks

2023 JUN · Paper 02 (regional R) · extract 6 of 6 · find part d in this mark scheme extract

Question Number	What is the rate of inflation if the Consumer Price Index (CPI) in an economy increased from 1000 to 1050 in one year? Answer	Mark

Type MS · Rising and falling currencies: effects on trade and the current account

Answer 15 of 17 · Question 2 part a · 1 mark

2023 NOV · Paper 02 · extract 1 of 6 · find part a in this mark scheme extract

2(a)	**AO1 1 mark** The only correct answer is: **A** To increase the demand for its exports B is not correct because devaluation aims to increase not decrease the demand for exports C is not correct because devaluation aims to make exports cheaper rather than affect the price of imports D is not correct because devaluation can make a country's assets and investments cheaper in foreign currency terms, which can attract foreign investors	**(1)**

Question Number	Which **one** of the following is the most likely reason for increased globalisation? **Answer**	Mark
2(b)	**AO2 1 mark** The only correct answer is: **C** An increase in the significance of MNCs A is not correct because this would reduce trade B is not correct because this would make trade more expensive and less likely D is not correct because this would result in less globalisation	**(1)**

Question Number	State **one** possible macroeconomic objective for a government. **Answer**	Mark
2(c)	**AO1 1 mark** Award 1 mark for **one** macroeconomic objective. • Economic growth • Low and stable inflation • Low unemployment • Surplus or balance on the current account of the balance of payments • Protection of the environment • Redistribution of income Accept any other appropriate response	**(1)**

Type MS · Rising and falling currencies: effects on trade and the current account

Answer 15 of 17 · Question 2 part a · 1 mark

2023 NOV · Paper 02 · extract 2 of 6 · find part a in this mark scheme extract

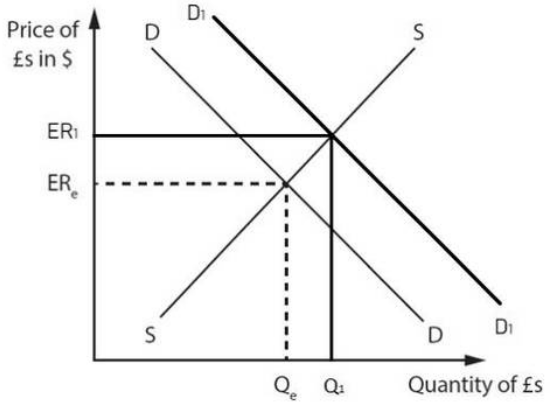
Question Number	What is meant by the term seasonal unemployment? **Answer**	Mark
2(d)	**AO1 2 marks** Award up to 2 marks for a correct definition When workers are only required for certain times of the year **(1)** and unemployed for the rest of the year **(1)** Accept any other appropriate response	**(2)**

Question Number	Explain **one** reason rapid economic growth may be harmful for an economy such as Vietnam. **Answer**	Mark
2(e)	**AO2 3 marks** Award 1 mark for identifying a relevant reason Award 1 mark for developing the reason Award 1 mark for the response being in context • One reason is because it may cause damage to the environment **(1).** The increased production of goods and services can cause pollution **(1)** which may result in increased government expenditure to reduce the problem **(1)** • One reason is higher inflation **(1).** Rapid growth of 8.02% may result in the economy overheating **(1).** This could result in lower standards of living for people in Vietnam due to less purchasing power **(1)** Accept any other appropriate response	**(3)**

Type MS · Rising and falling currencies: effects on trade and the current account

Answer 15 of 17 · Question 2 part a · 1 mark

2023 NOV · Paper 02 · extract 3 of 6 · find part a in this mark scheme extract

Question Number	Using the diagram below, draw the effect of an increase in UK exports to the US on the equilibrium exchange rate of the UK pound (£). Label the new curve, the new equilibrium exchange rate and the new equilibrium quantity. **Answer**	Mark
2(f)	**AO2 3 marks** Award 1 mark for rightward shift of demand, labelled Award 1 mark for higher equilibrium exchange rate, labelled Award 1 mark for higher equilibrium quantity, labelled  	**(3)**

Type MS · Rising and falling currencies: effects on trade and the current account

Answer 15 of 17 · Question 2 part a · 1 mark

2023 NOV · Paper 02 · extract 4 of 6 · find part a in this mark scheme extract

Question Number	With reference to the data above and your knowledge of economics, assess the disadvantages of higher business tax rates on investment in a country such as the UK. **Indicative content**	Mark
2(g)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Business tax is a direct tax on the profit of a firm • Business tax rates in the UK have increased from 19% to 25% in April 2023 • Increasing business tax rates by such a large percent (6%) may result in less tax revenue for the UK Government if firms do not locate in the UK or if UK firms relocate to the US • The US has a much lower tax rate of 21% in comparison to the UK which could be very attractive to MNCs • Firms such as Associated British Foods will have to pay £20m more in taxation • This could result in the firm having less to invest in the UK economy • This is likely to result in a negative impact on GDP and employment if many firms have less profit to invest and expand in the UK **AO4** • However, increases in business tax rates can help provide the UK Government with an additional £18bn in tax revenue • This could be used by the UK Government to invest into public services for the UK population which might offset any reductions in investment by the private sector • The UK's tax rate of 25% is comparable to China and France and is still significantly lower than Germany's 30% tax rate • This could mean that the impact of the higher rates of business tax is minimal • The level of investment is affected by a range of factors, such as business confidence and not just the rate of business taxes in a country	**(9)**

Type MS · Rising and falling currencies: effects on trade and the current account

Answer 15 of 17 · Question 2 part a · 1 mark

2023 NOV · Paper 02 · extract 5 of 6 · find part a in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
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Type MS · Rising and falling currencies: effects on trade and the current account

Answer 15 of 17 · Question 2 part a · 1 mark

2023 NOV · Paper 02 · extract 6 of 6 · find part a in this mark scheme extract

Question Number	How many UK pounds (£) can be bought with $50 if the exchange rate is $1=0.75? **Answer**	Mark

Type MS · Rising and falling currencies: effects on trade and the current account

Answer 16 of 17 · Question 2 part a · 1 mark

2024 NOV · Paper 02 · extract 1 of 6 · find part a in this mark scheme extract

2(a)	**AO1 1 marks** The only correct answer is: **A** Appreciation B is not correct because this is when there is a fall in the value of the exchange rate C is not correct because this is when a government fixes a new higher exchange rate D is not correct because this is when a government fixes a new lower exchange rate	**(1)**

Question Number	Which **one** of the following is a reason for why there is protection for international trade? **Answer**	Mark
2(b)	**AO1 1 mark** The only correct answer is: **C** To protect domestic jobs A is not correct because trade protection aims to stop dumping B is not correct because trade protection reduces free trade D is not correct because trade protection should help to reduce the current account deficit	**(1)**

Question Number	State **one** possible impact of globalisation on consumers. **Answer**	Mark
2(c)	**AO1 1 mark** Award 1 mark for **one** possible impact • Rising living standards • Greater choice • Lower prices • Dangerous products Accept any other appropriate response	**(1)**

Type MS · Rising and falling currencies: effects on trade and the current account

Answer 16 of 17 · Question 2 part a · 1 mark

2024 NOV · Paper 02 · extract 2 of 6 · find part a in this mark scheme extract

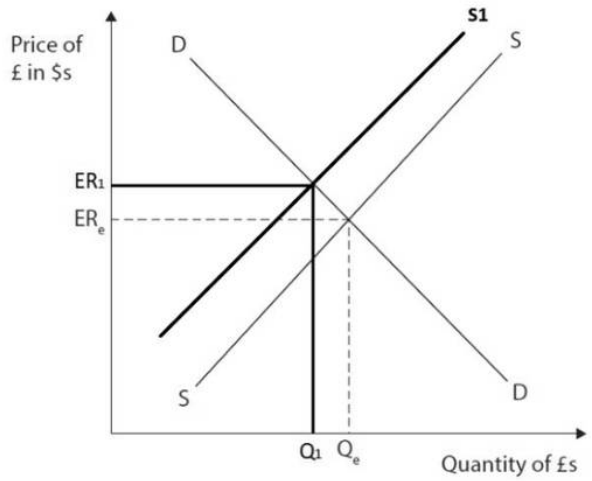
Question Number	What is meant by the term asset purchasing? **Answer**	Mark
2(d)	**AO1 2 marks** Award up to 2 marks for a correct definition When a central bank buys government bonds/financial assets **(1)** from commercial banks **(1)** Accept any other appropriate response	**(2)**

Question Number	Explain **one** reason why there might be a trade-off between economic growth and environmental protection for an economy such as China. **Answer**	Mark
2(e)	**AO2 3 marks** Award 1 mark for identifying a relevant reason Award 1 mark for developing the reason Award 1 mark for the response being in context • One reason is that environmental protection can increase the cost of doing business **(1).** Firms may need to invest in new equipment/technologies to reduce emissions **(1)** which may result in slower economic growth **(1)** • One reason is that more environmental protection such as restrictions may limit business activity **(1)** to reduce emissions/pollution from factories **(1)**, which could lead to lower economic growth **(1)** Accept any other appropriate response	**(3)**

Type MS · Rising and falling currencies: effects on trade and the current account

Answer 16 of 17 · Question 2 part a · 1 mark

2024 NOV · Paper 02 · extract 3 of 6 · find part a in this mark scheme extract

Question Number	Using the diagram below, draw the likely effect of a decrease in imports from the US on the equilibrium exchange rate of the UK pound (£) against the US dollar ($). Label the new curve, the new equilibrium exchange rate and the new equilibrium quantity. **Answer**	Mark
2(f)	**AO2 3 marks** Award 1 mark for a leftward shift of the supply curve, labelled Award 1 mark for a higher equilibrium exchange rate, labelled Award 1 mark for a lower equilibrium quantity, labelled  **Figure 3**	**(3)**

Type MS · Rising and falling currencies: effects on trade and the current account

Answer 16 of 17 · Question 2 part a · 1 mark

2024 NOV · Paper 02 · extract 4 of 6 · find part a in this mark scheme extract

Question Number	With reference to the data above and your knowledge of economics, assess the possible impact of the introduction of AI on the levels of structural unemployment. **Indicative content**	Mark
2(g)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Structural unemployment is caused by a mismatch between the skills that workers in the economy can offer and the skills demanded of workers by employers • In the case of the introduction of AI, this could be caused by the introduction of new technology • AI can perform repetitive and routine tasks more efficiently and accurately than humans • As a result, jobs that involve tasks like data entry, basic coding or even certain aspects of journalism may be automated, leading to the replacement of workers in these industries • This can contribute to higher levels of structural unemployment rates among workers in these types of job roles which can be seen in the planned job cuts at IBM and BT • Some workers may not have the necessary skills for the new jobs being created in the AI and technology sector resulting in an increase in structural unemployment **AO4** • However, while AI can eliminate certain jobs, it can also create new job opportunities • For example, the development, maintenance and running of AI systems require skilled IT professionals • New industries and job roles related to AI and technology may emerge potentially absorbing some of the unemployed workers • AI can boost productivity and efficiency in various sectors potentially leading to economic growth • A growing economy can create more job opportunities in non-routine and creative roles that are less susceptible to AI • AI and new technology have enabled an increase in remote work/working from home which can expand job opportunities for individuals	**(9)**

Type MS · Rising and falling currencies: effects on trade and the current account

Answer 16 of 17 · Question 2 part a · 1 mark

2024 NOV · Paper 02 · extract 5 of 6 · find part a in this mark scheme extract

Level	Mark	Descriptor
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Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Rising and falling currencies: effects on trade and the current account

Answer 16 of 17 · Question 2 part a · 1 mark

2024 NOV · Paper 02 · extract 6 of 6 · find part a in this mark scheme extract

Question Number	Which **one** of the following is an advantage of a government giving subsidies to domestic producers? **Answer**	Mark

Type MS · Rising and falling currencies: effects on trade and the current account

Answer 17 of 17 · Question 2 part b · 1 mark

2025 JUN · Paper 02 (regional R) · extract 1 of 6 · find part b in this mark scheme extract

2(a)	**AO1 1 marks** The only correct answer is: **C** increases with higher income levels A is not correct because this describes a flat tax system B is not correct because this describes a regressive tax system D is not correct because this does not happen in a progressive tax system	**(1)**

Question Number	A depreciation in a country's exchange rate is most likely to lead to **Answer**	Mark
2(b)	**AO1 1 mark** The only correct answer is: **A** increase in exports and a decrease in imports B is not correct because a depreciation would result in an increase in exports and a decrease in imports C is not correct because a depreciation would result in an increase in exports and a decrease in imports D is not correct because a depreciation would result in an increase in exports and a decrease in imports	**(1)**

Question Number	State **one** possible trade-off with inflation. **Answer**	Mark
2(c)	**AO1 1 mark** Award 1 mark for **one** possible trade-off • Higher unemployment • Lower economic growth • Worsening current account on the balance of payments Accept any other appropriate response	**(1)**

Type MS · Rising and falling currencies: effects on trade and the current account

Answer 17 of 17 · Question 2 part b · 1 mark

2025 JUN · Paper 02 (regional R) · extract 2 of 6 · find part b in this mark scheme extract

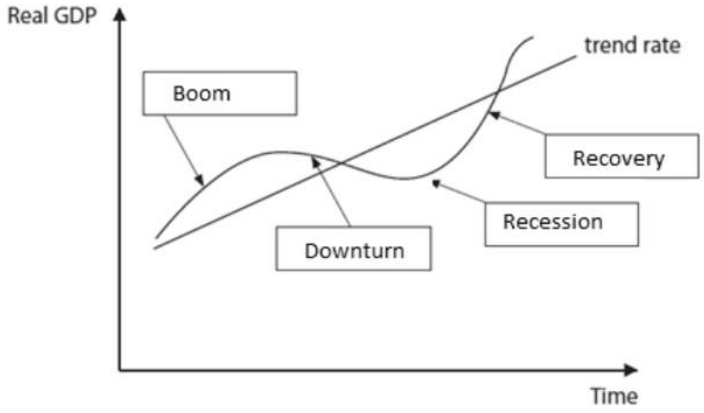
Question Number	What is meant by the term direct tax? **Answer**	Mark
2(d)	**AO1 2 marks** Award up to 2 marks for a correct definition A tax levied/imposed on individuals/firms **(1)** based on the level of income/profits **(1)** Accept any other appropriate response	**(2)**

Question Number	Explain **one** disadvantage of privatising the provision of school meals in North Tyneside. **Answer**	Mark
2(e)	**AO2 3 marks** Award 1 mark for identifying a relevant disadvantage Award 1 mark for developing the disadvantage Award 1 mark for the response being in context • One disadvantage is that school meals could become more expensive **(1)** this is because private firms aim to make a profit. **(1)** This can make it harder for some families to afford school meals for their children at school **(1)** • One disadvantage is that workers might be paid less. **(1)** Private firms often try to save money in order to make a profit. **(1)** This can negatively impact the quality of service/the well-being of existing employees **(1)** Accept any other appropriate response	**(3)**

Type MS · Rising and falling currencies: effects on trade and the current account

Answer 17 of 17 · Question 2 part b · 1 mark

2025 JUN · Paper 02 (regional R) · extract 3 of 6 · find part b in this mark scheme extract

Question Number	Using the diagram below, label the remaining three stages of the economic cycle in the boxes on the diagram. **Answer**	Mark
2(f)	**AO2 3 marks** Award 1 mark for Boom, labelled Award 1 mark for Downturn, labelled Award 1 mark for Recession/slump/depression, labelled  	**(3)**

Type MS · Rising and falling currencies: effects on trade and the current account

Answer 17 of 17 · Question 2 part b · 1 mark

2025 JUN · Paper 02 (regional R) · extract 4 of 6 · find part b in this mark scheme extract

Question Number	With reference to the data above and your knowledge of economics, assess the possible benefits to the environment of providing subsidies for solar-powered stoves in Rwanda. **Indicative content**	Mark
2(g)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • With subsidies making solar-powered stoves affordable, more people might change the way they cook • Shifting from firewood or coal to solar-powered stoves decreases carbon emissions, contributing to cleaner air and combating climate change • Solar-powered stoves produce no harmful smoke, leading to better indoor air quality and reducing respiratory illnesses linked to smoke inhalation from firewood or coal • Promoting solar-powered stoves encourages the use of renewable energy and reduces reliance on fossil fuels • Subsidies can make the transition to solar-powered stoves more economically feasible for families, reducing long-term costs associated with buying fuel **AO4** • However, the subsidies cost money, which could be used for other important things like schools or hospitals • If the subsidies end, the price of solar-powered stoves might increase reducing the number of people wanting to use them • Sometimes the people who need the help the most might not get it, or the subsidies might not support the best or most efficient stoves • Subsidies can interfere with normal market operations, potentially stopping firms from improving their stoves or reducing prices on their own • Some people might prefer their traditional way of cooking and not want to switch to solar-powered stoves, making the subsidies less effective • It can be hard to manage and keep track of the subsidy programme, leading to potential waste	**(9)**

Type MS · Rising and falling currencies: effects on trade and the current account

Answer 17 of 17 · Question 2 part b · 1 mark

2025 JUN · Paper 02 (regional R) · extract 5 of 6 · find part b in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Rising and falling currencies: effects on trade and the current account

Answer 17 of 17 · Question 2 part b · 1 mark

2025 JUN · Paper 02 (regional R) · extract 6 of 6 · find part b in this mark scheme extract

Question Number	Which **one** of the following is a feature of being a member of a trading bloc? **Answer**	Mark